Airbnb Investment Opportunities in Los Angeles

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Amrita Gill
USC Online | University of Southern California

Final Assessment
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Overview

This analysis compares Airbnb listings across LA to identify areas and property types that may be worth considering for short-term rental investments (Inside Airbnb, 2025).

Areas of Analysis

- Nightly price differences across LA neighborhoods
- Existing Airbnb listings in each neighborhood
- How factors such as property size, guest capacity, and room type relate to prices

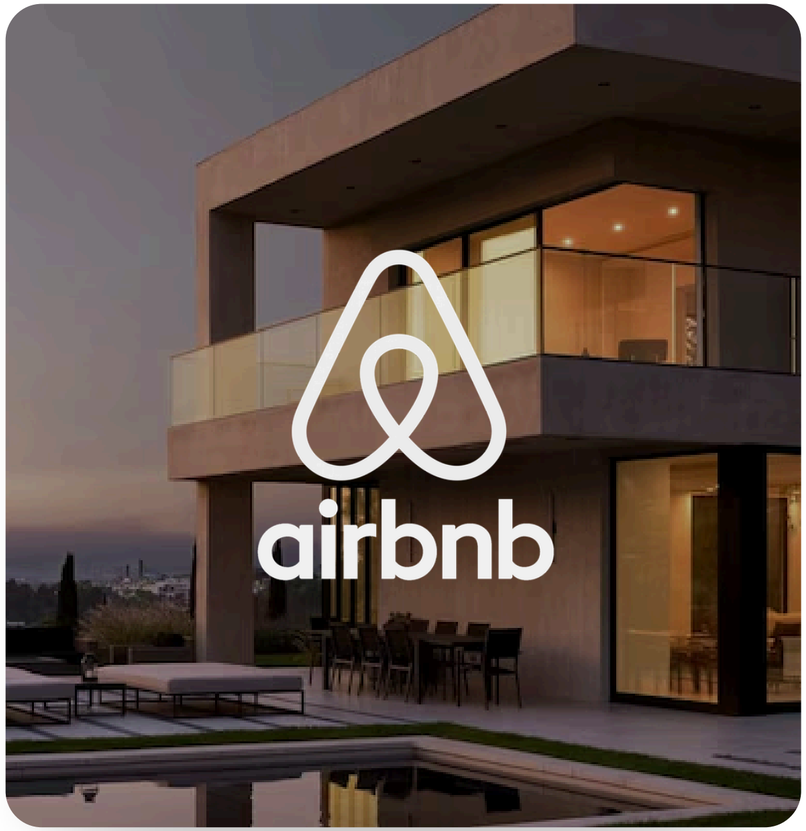


Photo: Airbnb (n.d.).

Nightly Prices Across LA Neighborhoods

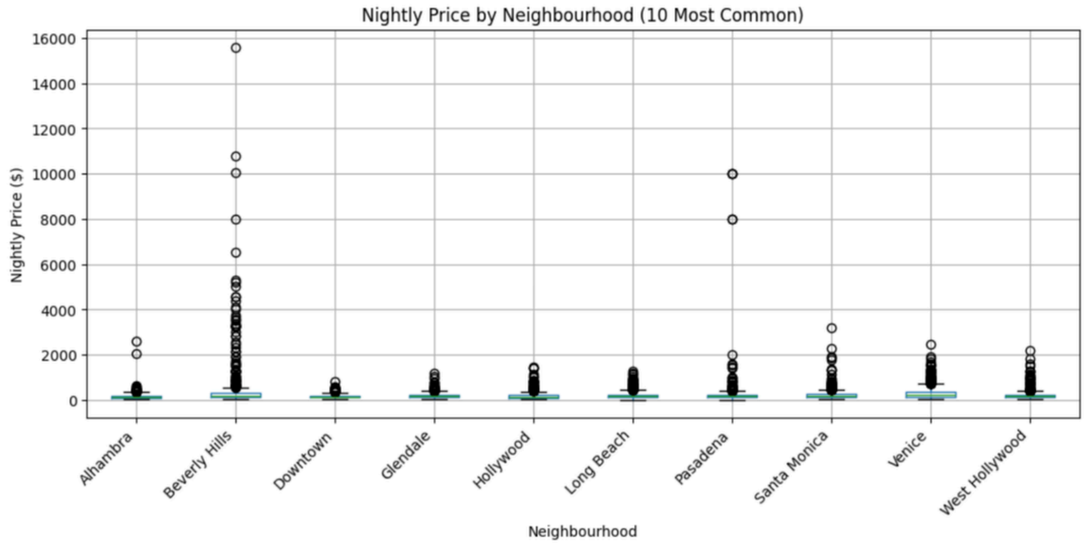
- Nightly prices varied across LA neighborhoods.
- Venice and Santa Monica had relatively high averages and may be worth exploring for potential investments.
- Looking at occupancy rates and property costs can help the firm determine whether these locations could be profitable.

$301.16

Average nightly price in Venice

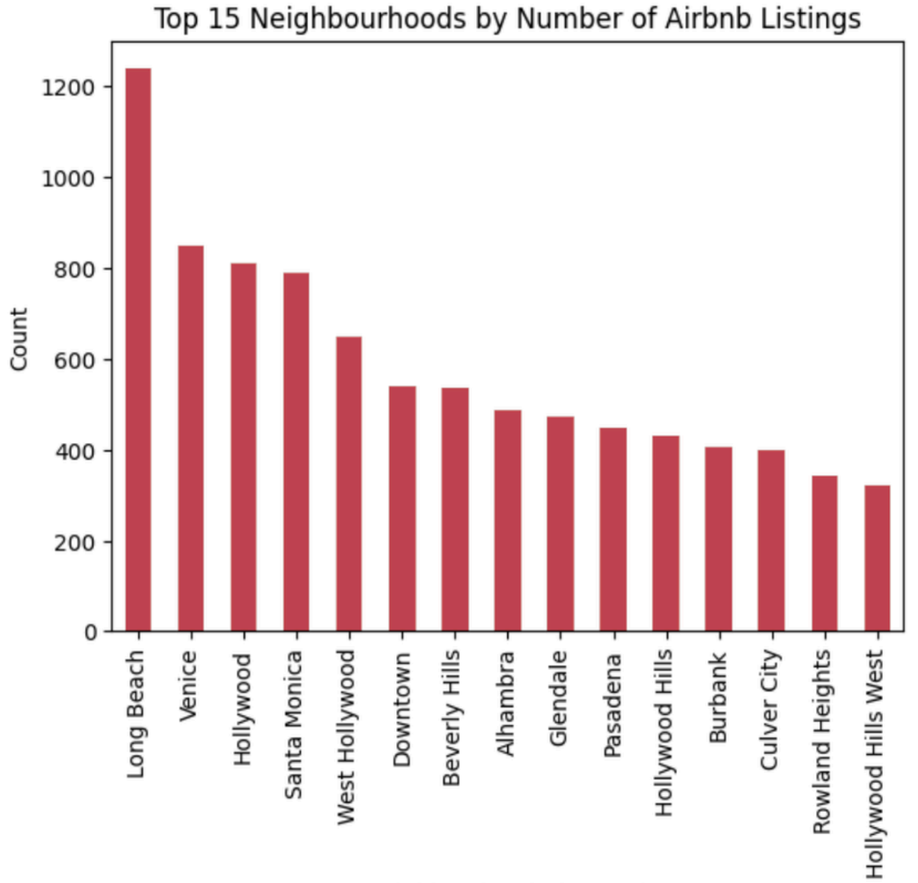
$231.83

Average nightly price in Santa Monica



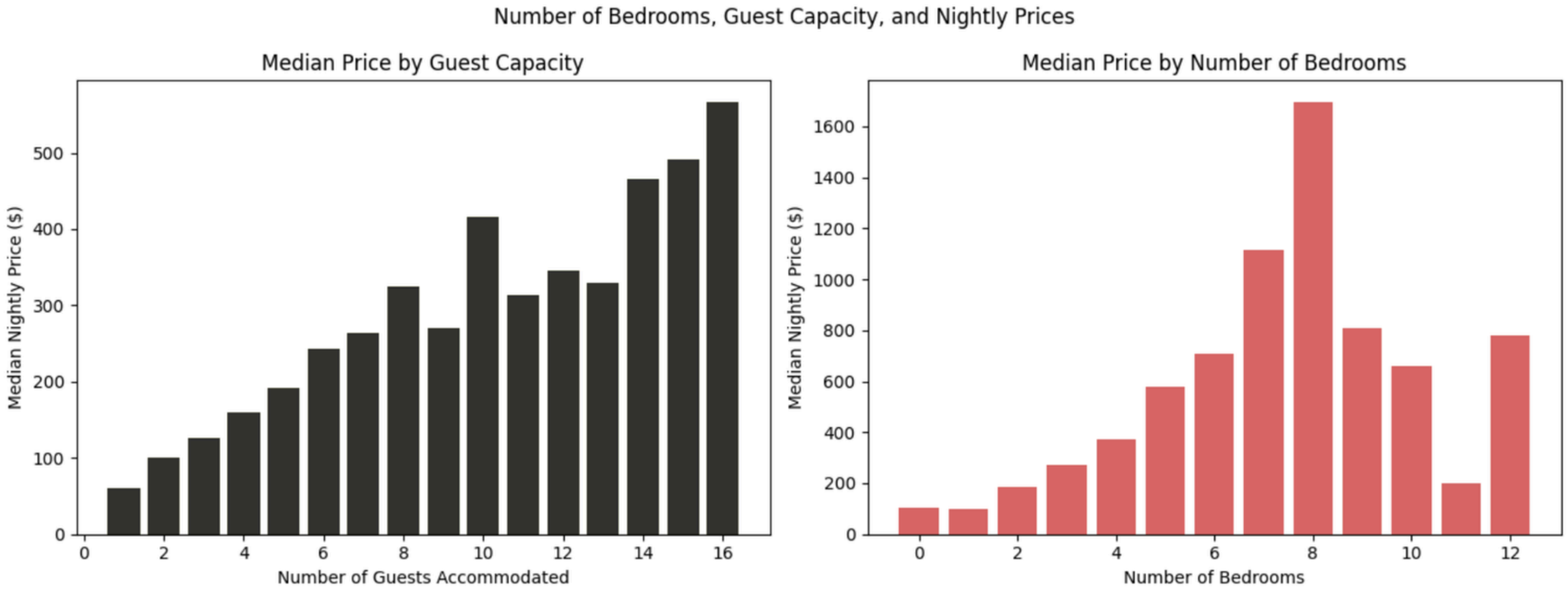
Neighborhoods with the Most Existing Listings

- Areas with many existing rentals may have more competition for guest bookings.
- Long Beach had the most listings (1,238), followed by Venice (850), Hollywood (812), and Santa Monica (790).
- The firm should check occupancy rates to see how often these rentals are booked and whether there's enough demand for more properties.

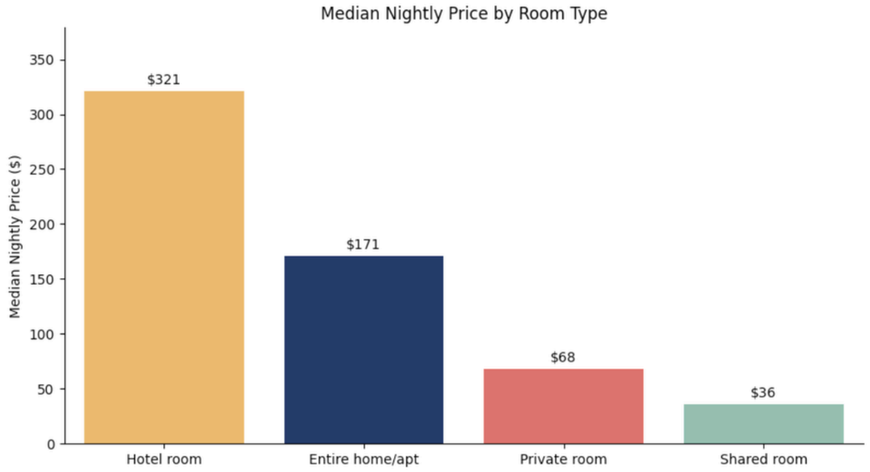


Larger Properties Tend to Have Higher Nightly Prices

- Properties with more bedrooms generally had higher nightly prices.
- Properties that can host more guests also generally had higher nightly prices.
- Larger properties may potentially bring in more income per booking



Room Type and Nightly Prices



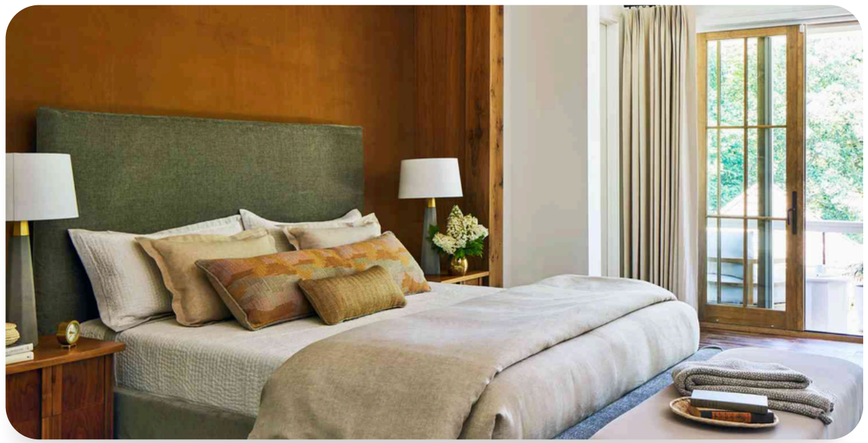


Photo: Southern Living (Owen, 2024).

- Airbnb guests can book an entire home, a private room, a shared room, or a hotel room.
- Hotel rooms had the highest median nightly price ($321), followed by entire homes and apartments ($171), private rooms ($68), and shared rooms ($36)
- Entire homes may earn more per booking, but higher property costs could affect profits.

Strategic Recommendations

- Look into potential investments in Venice and Santa Monica, since nightly prices are relatively high. Long Beach may also be worth considering depending on costs and competition.
- Consider entire homes with multiple bedrooms, since they can accommodate larger groups and generally charge higher nightly rates.
- Check occupancy rates, property costs, and local rental regulations before making any investment decisions.



Photo: Simple English Wikipedia (n.d.).



Photo: Sater Design Collection (n.d.).



Photo: Magnific (n.d.)..

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